



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst/Associate: Kunal Bhatia/ Suraj Nandu

Result Update @ Dalal & Broacha

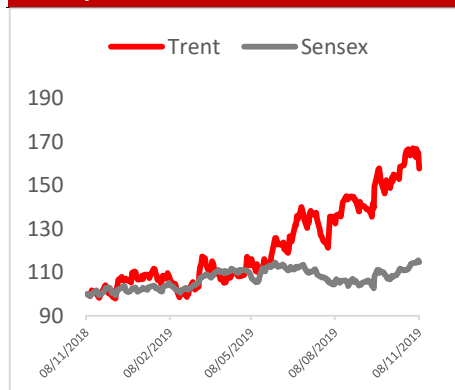
HOLD

Current Price	517
52 Week Range	313/568
Target Price	488
Upside	-6%

Key Share Data

Market Cap (Rs.bn)	183.61
Market Cap (US\$ mn)	2586.06
No of o/s shares (mn)	355.48
Face Value	1
Monthly Avg. vol(BSEincreased byNSE) Nos	141.97
BSE Code	500251
NSE Code	TRENT
Bloomberg	TRENT IN

Price performance



% Shareholding	Sept-19	Jun-19
Promoters	37.01	32.61
Public	62.99	67.39
Others	0.00	0.00
Total	100.0	100.0

Top-line better than expectations, 14% SSG in Westside, Other Income increased by 250% to Rs. 432.6mn boosts bottom-line, Ex. Other Income PBT -36% to Rs. 245.3mn, losses in JV increased to Rs. 119.4 as against 78.8mn

STANDALONE (regular)

- Revenues increased by 33% YoY to Rs 8180mn (includes Zudio since Oct-2017) (Like-to-Like Westside increased by 14% for Q2FY20 & increased by 23% YTD in revenues)/ YTD added 7 Westside stores to 155 total, 2 Utsa and added 6 Zudio stores to total of 62/ maintains target of 100 store openings for FY20 (Westside + Zudio)
- EBITDA increased by 134% YoY at Rs 1385.8mn (excluding other expense of Rs. 57.6mn not attributable to this quarter)
- Comparable EBITDA not given by company but as per our internal workings, we arrive at a comparable EBITDA of Rs. 713.6mn as against Rs. 592mn in Q2FY19 i.e. 21% growth. (Calculation assumption (ex-Ind AS 116): Rent Q1FY20: Rs. 1165.35mn, Rent Assumed for Q2FY20: Rs. 1216mn)
- EBITDA Margin stood at 16.9% vs 9.6% (on ac of IND AS116)
- Expenses as percentage to Revenue:
- RM 52.2% vs 49.2% YoY / 47% QoQ / Other Expense stood at 14.8% as against 18.7% YoY / Rental Costs stood at 6.6% as against 12.5%

- Depreciation increased by 440% YoY to Rs 584.9mn
- Interest cost increased by 485% YoY to Rs 598.18mn
- Other Income increased by 250% YoY to Rs 432.59mn
- PBT (before exceptional and other income): de-grew by 36% YoY to Rs 245.3mn
- PBT (comparable ex-Ind-AS 116): increased by 34% YoY to Rs. 677.92mn
- Reported PAT: increased by 16% YoY to Rs. 383mn
- Adjusted PAT increased by 47% YoY at Rs 483mn
- Standalone EPS Rs 1.36 as against Rs. 0.99 YoY

Consolidated Results:

- Revenues increased by 33.4% YoY to Rs 8548.7mn
- EBITDA increased by 133% YoY at Rs 1350.7mn
- EBITDA Margin stood at 15.8% vs 9% YoY (on ac of IND AS116)
- Other Income increased by 245% YoY to Rs 434.7mn
- Reported PBT: De-grew by 5% YoY to Rs. 384mn
- PBT (Comparable and ex IND-AS 116): increased by 30% to Rs. 526.4mn
- Share of loss from associate's 119.4mn as against loss of Rs 78.8mn YoY
- Adjusted PAT increased by 49% YoY to Rs 315.2mn

Other KTA

- Impact of IND AS 116 on Trent is much higher in magnitude as the lease periods are as long as 21 years because of which Right of Use of assets (ROU) amount is larger making the balance sheet bulkier.
- Festive season has been good for the company
- Company has not taken any price increase this quarter and is not expected to take any price increase in the near future
- EOSS started in 1st week of July and ended in last week of July, 2019
- Rs. 2.5bn has been utilized across debt repayment, working capital and Capex.
- Preferential issue to promoters was at Rs. 410

Outlook: going forward the management has maintained an aggressive target of 100 store openings (Westside & Zudio). We expect the company to post strong double digit SSG going forward in the fashion apparel business. The company will remain in an expansionary mode for the next couple of years.

Valuation: Based on our SOTP Valuation, We arrive at a revised target price of Rs. 488 from Rs. 508 earlier on account of faster expansion in Zudio impacting gross margins. Our working is based on Pre-Ind AS 116 numbers as re-conciliation becomes difficult on non-availability of comparable numbers. We change our rating from Accumulate to HOLD as we believe the benefits of the expansion to accrue in the next 2-3 quarters.

Consolidated Financials (Rs Mns)

Year	Net Sales	% Growth	EBITDA	OPM%	PAT	% Growth	EPS	PE (x)	ROE%	ROCE%
FY18	21,574.6	19.0%	2,011.8	9.3%	870.3	48%	2.6	197.4	5.5	7.8
FY19	26,302.4	21.9%	2,277.2	8.7%	948.5	9%	2.9	181.1	5.8	8.6
FY20E	32,990.5	25.4%	2,557.9	7.8%	1,901.6	100%	5.3	96.6	6.9	6.0
FY21E	40,641.4	23.2%	3,677.4	9.0%	3,175.0	67%	8.9	57.9	10.6	9.0



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TRENT Q2FY20 STANDALONE RESULT UPDATE

Particulars (Rs.mns)	Q2FY19	Q2FY20	Growth	H1FY19	H1FY20	Growth
Net Sales	6159.21	8180.06	33%	12065.28	15851.94	31%
Other Operating Income						
TOTAL Operating income	6159.21	8180.06	33%	12065.28	15851.94	31%
Total Expenditure	5567.2	6794.3	22%	10763.6	12827.2	19%
Raw Material Consumed				0.00	0.00	
Stock Adjustment	-640.30	-380.06	-41%	-162.58	-296.43	82%
Purchase of Finished Goods	3672.12	4647.46	27%	5888.22	8170.45	39%
Total Raw Material Cost	3031.8	4267.4	41%	5725.6	7874.0	38%
Gross margins						
Employee Expenses	613.76	826.39	35%	1194.76	1568.08	31%
Rent and Other Operating Lease	767.39	543.80	-29%	1512.67	1049.15	-31%
Other Expenses	1154.25	1214.27	5%	2330.54	2393.51	3%
% of operating income						
O. Exps not attributable to current qtr		(57.6)			-57.60	
TOTAL EXPENDITURE	5567.2	6794.3	22%	10763.6	12827.2	19%
EBITDA	592.0	1385.8	134%	1301.7	3024.8	132%
EBIDTA MARGINS ON OPERATING INCOME						
Depreciation	108.28	584.89	440%	213.50	1120.70	425%
Interest	102.32	598.18	485%	176.83	1195.45	576%
Ind-AS 116 impact		42.6			42.6	
PBT before Other Income	381.42	245.33	-36%	911.34	751.24	-18%
Other Income	123.65	432.59	250%	180.64	791.60	338%
PBT Before Exceptional Items	505.07	677.92	34%	1092.0	1542.8	41%
Exceptional Items				0.00	0.00	
Reported PBT	505.1	577.72	14%	1092.0	1442.64	32%
PBT (comparable and Ex-IND-As116)	505.1	677.9	34%	1092.0	1542.8	41%
Tax	176.00	194.86	11%	379.30	480.36	27%
<i>Tax Rate</i>	<i>34.8%</i>	<i>33.7%</i>		<i>35%</i>	<i>33%</i>	
Reported Profit After Tax	329.07	382.86	16%	712.7	962.3	35%
Adjusted Profit After Extra-ordinary item and Excl Inc from Discountinued Operations	329.1	483.06	47%	712.7	1062.48	49%
Equity	332.32	355.49	7%	332.32	355.49	7%
Face Value	1.00	1.00	0%	1.00	1.00	0%
EPS (Unit Curr.) (on adjusted PAT)	0.99	1.36	37%	2.14	2.99	39%
OPM	9.6%	16.9%		10.8%	19.1%	
NPM	5%	6%		6%	6%	
% to Operating Income						
Total Raw Material Cost	49.2%	52.2%		47.5%	49.7%	
Employee Expenses	10.0%	10.1%		9.9%	9.9%	
Rent and Other Op Lease	12.5%	6.6%		12.5%	6.6%	
Other Expenses	18.7%	14.8%		19.3%	15.1%	
TOTAL EXPENDITURE	90.4%	83.1%		89.2%	80.9%	



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Valuation (Pre IND AS 116 Nos considered)

Trent SOTP Method					
Segment	Particulars	FY21	Metric	Multiple(X)	Per Share Contribution
	PAT Standalone				
Weside	(Rs Mns)	2863	P/E	50	143127
Star Bazaar 50% JV	Sales (Rs Mns)	7634	P/Sales	1	7634
Zara Trents Share 49%	PAT (Rs Mns)	623	P/E	35	21790
Less: Debt (Rs Mns)					3942
Add: Cash + Invest (Rs Mns)					
less Inv in Subs					4899
Total Value in Mns					173508
NO. of Shares (In Mns)					355
Value Per Share Rs					488
CMP					517
Upside					-6%



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Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Ms.Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Mr. Mayank Babla	mayank.babla@dalal-broacha.com	022 67141142	IT, Telecom, Media
Ms.Abhilasha Satale	abhilasha.satale@dalal-broacha.com	022 67141435	Mid- cap senior analyst
Mr. Avinash Tanawde	avinash.tanawde@dalal-broacha.com	022 67141449	BFSI
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate
Mr. Tanush Mehta	tanush.mehta@dalal-broacha.com	022 67141449	Associate
Ms. Nidhi Babaria	nidhi.babaria@dalal-broacha.com	022 67141450	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: research@dalalbroachaindia.com, equity.research@dalal-broacha.com